

STAMPING HIS AUTHORITY

Ratan Tata's biggest challenge after he took over was establishing control over group firms that were then headed by 'satraps'—executives who ran them like their fiefs



(From left) Russi Mody, former Chairman & MD of Tata Steel; Darbari Seth, former MD of Tata Chemicals; and Ajit Kerkar, former MD of Indian Hotels, were eased out either through retirement or through the board route in the 1990s and Ratan Tata created a cohesive group bringing the disparate entities firmly under control

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and Tata Steel, among others. Those who know him say he is a “person who works through consensus”. According to eminent lawyer Homi P. Ranina, the trustees have ensured a smooth transition and continued focus on the group’s growth. “It is also to avoid any kind of conflict between Tata Sons and Tata Trusts that one saw earlier.” Noel Tata’s three children are also involved at the group level—daughter Leah is with Indian Hotels, while Maya worked on the launch of the Tata Neu app, and son Neville is with Star Bazaar.

The group’s focus on big-ticket capital expenditure plans is set to continue. Early last year, Chandrasekaran outlined an investment of \$90 billion over the next five years across existing and new businesses—the latter including EVs, batteries, renewables, 5G, electronics, and semiconductors. Tata Power and Tata Steel will invest \$10 billion each, while Tata Motors and JLR will invest \$25 billion.

Ketan Dalal, MD at advisory firm Katalyst Advisors, says Noel Tata’s role in the meteoric rise of Trent and

other companies he has been associated with will be a plus. “It is particularly relevant not only in the context of navigating a complex group that is making huge investments, but also in one of the most turbulent and difficult geopolitical periods in world history.”

Of course, Air India is still a concern. Deven R. Choksey, Chairman and MD of wealth management and investment advisory firm DRChoksey Finserv, says it is encouraging to see that losses are reducing. Considering the group’s deep resources, the new-age businesses must be given seven to eight years before profits flow in, he says. “Larger entities like TCS, Tata Motors, Tata Steel, Titan, and Indian Hotels are on autopilot, allowing the group to focus more on the newer pursuits,” Choksey adds.

It is over now to Noel Tata and Chandrasekaran to ensure that the growth engines continue purring and all challenges are navigated with dexterity. **BT**

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